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THE YEAR WAS 2021. Terms such as crypto, blockchain and NFT had captured the popular imagination. The value of Bitcoin, the most popular crypto asset, rocketed to a peak of almost \$69,000 in November. Indians, too, couldn't resist the charms of this digital currency, with an estimated 100 million-plus trading in cryptos—the highest in the world, per broker discovery and comparison platform BrokerChooser. In fact, a 2022 report by trade and the United Nations Conference on Trade and Development (UNCTAD) said that more than 7 per cent of the Indian population owned cryptocurrencies in 2021. The year also saw crypto exchanges flourish in the country with their trading volumes growing and their founders being the toast of the town.

Cut to 2023, and Bitcoin has plunged to about half its value from the peak in 2021 and trading volumes for crypto exchanges in India

have plunged more than 90 per cent since February 1, 2022. What happened? First, Finance Minister Nirmala Sitharaman imposed a 30 per cent tax on crypto gains and a 1 per cent tax deducted at source (TDS) on all 'sell' transactions on February 1, 2022. And second, Bitcoin plunged after the failure of some prominent crypto exchanges like FTX and the end of an era of ultra-low interest rates. Is crypto a dead asset class then?

While crypto has lost its sheen as a popular investment option, there are some financial bodies that still believe in them. For instance, Standard Chartered Bank has predicted that Bitcoin could touch \$120,000 by the end of 2024. But there are many who are sceptical about this asset class, like the legendary Warren Buffett. The Oracle of Omaha famously said at Berkshire Hathaway's annual meeting in 2022 that if someone offered him all the Bitcoin in the world for \$25, "I wouldn't take it, because what would I do with it?"

Former State Bank of India chairman Arundhati Bhattacharya, who is now Chairperson and CEO of Salesforce India, also doesn't believe in the asset class. "There are a few things [about cryptocurrencies] that I don't believe in. One is the fact that their value is not determined by any particular authority. It just goes up and down. You cannot say whether it's going to be ₹10,000 today or ₹100 or ₹10

CRYPTO CORRECTION



Crypto trading has slumped, with Bitcoin losing over half the value it had in 2021



The decline in crypto trading volumes in India can in part be attributed to the imposition of heavy taxes on crypto



Crypto exchange founders are pivoting for survival, from diversifying revenue streams to embracing DeFi and even relocating to crypto-friendly countries



Some exchanges are expanding into Web 3.0, while others plan to offer products like mutual funds, aiming to leverage their existing user base

tomorrow. So, to that extent, it is just like any other commodity," she told *BT* in an earlier interaction. The second thing, she said, is that the security regarding crypto is another concern. "You don't know whether somebody can hack in. You don't know whether the people

FOR THE FOUNDERS OF CRYPTO EXCHANGES, IT IS A BATTLE FOR SURVIVAL. THEY ARE EMBRACING DIVERSE STRATEGIES, INCLUDING EXPLORING ALTERNATIVE REVENUE SOURCES